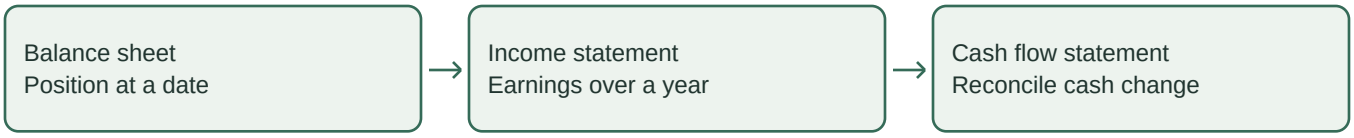
Alder Tools - linked financial statements



All amounts are dollars, not thousands. Parentheses indicate outflows or deductions.

A. Comparative balance sheet

Account	Beginning of year	End of year
Cash	1,000	To calculate
Accounts receivable	800	1,000
Inventory	1,200	1,500
Net property, plant & equipment	5,000	5,300
Total assets	8,000	9,500
Accounts payable	1,000	1,100
Interest-bearing debt	2,500	3,000
Book equity	4,500	To calculate

All debt is long-term. Accounts payable is the only current liability. No other assets, liabilities, or equity adjustments. Use ending balances for ratios unless the prompt says otherwise.

B. Income statement - year ended

Sales	10,000
Cost of goods sold	(6,000)
Cash operating expenses	(1,500)
Depreciation	(500)
Interest expense	(400)
Income tax	(400)

No other income or expense. Gross profit, EBIT, pretax income, and net income are deliberately omitted. Assumed tax rate: 25% of positive pretax income.

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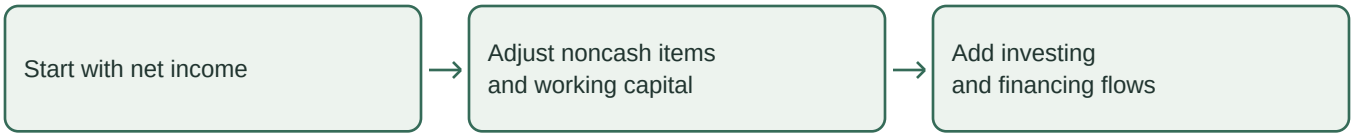

C. Indirect cash-flow reconciliation: use changes, not ending balances.

C. Cash movements and supporting notes

Capital expenditure paid in cash	800
New borrowing received in cash	500
Dividends paid in cash	300
Share issues / repurchases	None
Other noncash items / cash flows	None

Operating cash flow = net income + depreciation - increase in receivables - increase in inventory + increase in payables. Investing cash flow includes the equipment purchase. Financing cash flow includes the borrowing and dividends.

D. Market and per-share information

Common shares throughout the year	1,000
Current price per share	$8.00
Total debt at year end	$3,000.00
Cash at year end	Reconcile using panels A-C

For enterprise value use debt at its stated value and subtract all cash. No preferred shares or minority interests. This is a separate scale example from Chapter 1.

E. Analyst reference

Current assets	Cash + receivables + inventory
Quick assets	Cash + receivables (no other liquid securities)
Profitability	Gross profit, EBIT, or net income divided by sales
DuPont ROE	Net margin x sales/assets x assets/book equity
Collection / inventory days	Receivables/daily sales; inventory/daily cost of sales

Use 365 days for daily rates. Notes and audit opinions help assess accounting estimates and risk; a clean opinion does not guarantee the business will succeed.